



AKD HOSPITALITY LIMITED

(FORMERLY AKD CAPITAL LIMITED)

**QUARTERLY ACCOUNTS FOR THE PERIOD ENDED
31ST MARCH 2022**

(UN-AUDITED)



AKD Hospitality Ltd.

(Formerly AKD Capital Ltd.)

DIRECTORS' REPORT

The Board of Directors of AKD Hospitality Limited is pleased to presents un-audited financial statements for the quarter ended 31st March 2022.

During the period the company registered a loss after tax of Rupees 2.116 million. Operating results for the half year are favorable as compared to the net loss (Rupees 2.762 million) after tax during the same period of last year.

Future Outlook:

Pakistan is an emerging country as far as tourism is concerned especially after the improvement in law and order situation as well as Geo Political situation in the region. The tourism business has very bright future as far as revenue is concern. Pakistan has rich local traditions, has several very famous Archeological and Historical attraction, Natural and Cultural attractions all over the country and Northern area are the key areas in which tourism will flourish in future and to achieve our target are also exploring different options in line of company new principal line of business.

The Board of Directors also appreciated shareholders for their continued support.

For and on behalf of the Board

Chief Executive Officer



Chairman

Date: 27th April 2022

AKD HOSPITALITY LIMITED
CONDENSED INTERIM STATEMENT OF FINANCIAL POSITION (UN-AUDITED)
AS AT 31 MARCH 2022

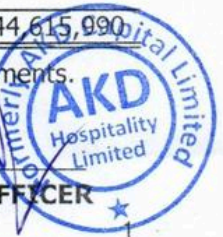
	Note	(Un-Audited) 31 March 2022 Rupees	(Audited) 30 June 2021 Rupees
ASSETS			
NON-CURRENT ASSETS			
Property and equipment	5	1,127,077	1,231,840
Right of use assets		299,720	475,277
Long-term investments	6	19,896,000	39,001,674
Long-term deposit		20,000	20,000
		21,342,797	40,728,791
CURRENT ASSETS			
Trade debts		1,800,000	2,400,000
Advance and prepayments	7	211,541	48,557
Other receivable		632,658	-
Advance income tax		2,048,877	912,487
Bank balances		181,012	526,155
		4,874,088	3,887,199
		26,216,885	44,615,990
EQUITY AND LIABILITIES			
SHARE CAPITAL AND RESERVES			
Authorized share capital			
100,000,000 (30 June 2021: 100,000,000) ordinary shares of Rupees 10 each		1,000,000,000	1,000,000,000
Issued, subscribed and paid-up share capital		25,072,733	25,072,733
Reserves		(12,264,574)	6,969,855
TOTAL EQUITY		12,808,159	32,042,588
NON CURRENT LIABILITIES			
Lease liability	8	67,500	260,613
Deferred tax liability		291,393	1,695,252
		358,893	1,955,865
CURRENT LIABILITIES			
Trade and other payables		2,119,611	2,624,121
Short term borrowing from associate		6,150,001	4,450,001
Provision for taxation		1,576,283	559,533
Current & overdue portion of lease liability	8	726,976	506,920
Unclaimed dividend		2,476,962	2,476,962
		13,049,833	10,617,537
TOTAL LIABILITIES			
Contingencies and commitments	9		
TOTAL EQUITY AND LIABILITIES		26,216,885	44,615,990

The annexed notes from 01 to 17 form an integral part of these condensed interim financial statements.


CHIEF EXECUTIVE OFFICER


DIRECTOR


CHIEF FINANCIAL OFFICER



AKD HOSPITALITY LIMITED
CONDENSED INTERIM STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
(UNAUDITED)
FOR THE SIX-MONTHS PERIOD ENDED 31 MARCH 2022

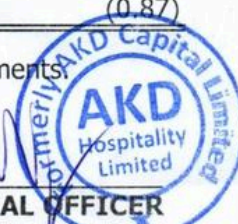
	Nine-months period ended		Three-months period ended	
	31 March	31 March	31 March	31 March
	2022	2021	2022	2021
Note	Rupees	Rupees	Rupees	Rupees
INCOME				
Revenue	-	-	-	-
EXPENSES				
Administrative and general expenses	(3,645,969)	(4,969,120)	(976,768)	(3,089,838)
Finance cost	(26,943)	(1,210)	(7,581)	(565)
Other income	1,500,000	2,400,000	500,000	1,000,000
LOSS BEFORE TAXATION	(2,172,912)	(2,570,330)	(484,349)	(2,090,403)
Taxation				
- Current	(80,000)	(192,000)	-	(80,000)
- Prior	87,640	-	-	-
- Deferred tax	48,826	-	-	-
LOSS AFTER TAXATION	(2,116,446)	(2,762,330)	(484,349)	(2,170,403)
OTHER COMPREHENSIVE (LOSS)/INCOME				
Items that will not be reclassified subsequently to profit or loss:				
- Unrealized (loss)/gain arising on remeasurement of investments at 'fair value through other comprehensive income' - net	(17,117,983)	13,938,947	(6,080,000)	13,017,059
Items that may be reclassified subsequently to profit or loss:	-	-	-	-
Other comprehensive (loss)/income for the period	(17,117,983)	13,938,947	(6,080,000)	13,017,059
Total comprehensive (loss)/gain for the period	(19,234,429)	11,176,617	(6,564,349)	10,846,656
Loss per share - basic and diluted	10 (0.84)	(1.10)	(0.19)	(0.87)

The annexed notes from 01 to 17 form an integral part of these condensed interim financial statements.


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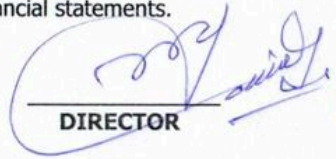


AKD HOSPITALITY LIMITED
CONDENSED INTERIM STATEMENT OF CHANGES IN EQUITY (UNAUDITED)
FOR THE SIX-MONTHS PERIOD ENDED 31 MARCH 2022

Description	Issued, subscribed and paid-up share capital	Reserves					Total Equity
		Capital Reserves		Revenue Reserves		Sub Total	
		Share premium	Fair value reserve on 'Fair value through other comprehensive income' investments	General Reserve	Accumulated Loss		
	Rupees	Rupees	Rupees	Rupees	Rupees	Rupees	Rupees
Balance as at 31 December 2020 - Unaudited	25,072,733	20,891,600	6,618,020	752,000	(17,066,253)	11,195,367	36,268,100
Total comprehensive income for the period							
Loss for the period	-	-	-	-	(7,092,726)	(7,092,726)	(7,092,726)
Other comprehensive income	-	-	2,867,214	-	-	2,867,214	2,867,214
	-	-	2,867,214	-	(7,092,726)	(4,225,512)	(4,225,512)
Balance as at 30 June 2021 - Audited	25,072,733	20,891,600	9,485,234	752,000	(24,158,979)	6,969,855	32,042,588
Total comprehensive loss for the period							
Loss for the period	-	-	-	-	(2,116,446)	(2,116,446)	(2,116,446)
Other comprehensive Loss	-	-	(17,117,983)	-	-	(17,117,983)	(17,117,983)
	-	-	(17,117,983)	-	(2,116,446)	(19,234,429)	(19,234,429)
Gain realized on disposal of investment in equity instrument at FVTOCI	-	-	(8,517,251)		8,517,251	-	8,517,251
Balance as at 31 March 2022 - Unaudited	25,072,733	20,891,600	(16,150,000)	752,000	(17,758,174)	(12,264,574)	21,325,410

The annexed notes from 01 to 17 form an integral part of these condensed interim financial statements.


CHIEF EXECUTIVE OFFICER


DIRECTOR




CHIEF FINANCIAL OFFICER

AKD HOSPITALITY LIMITED
CONDENSED INTERIM STATEMENT OF CASH FLOWS (UN-AUDITED)
FOR THE SIX-MONTHS PERIOD ENDED 31 MARCH 2022

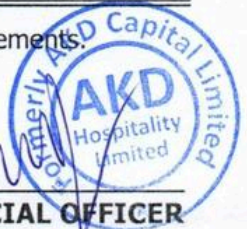
	31 March 2022 Rupees	31 March 2021 Rupees
CASH FLOW FROM OPERATING ACTIVITIES		
Loss before taxation	(2,172,912)	(2,570,330)
Adjustments for non cash items:		
Depreciation	280,320	120,060
Finance cost	26,943	-
Operating cash used before working capital changes	(1,865,649)	(2,450,270)
Changes in working capital		
Increase in current assets		
Trade debts	600,000	(1,400,000)
Advance and prepayments	(162,984)	(66,438)
Other receivable	(632,658)	-
Increase in current liabilities		
Trade and other payables	(504,510)	4,319,839
	(700,152)	2,853,401
Net working capital changes	(2,565,801)	403,131
Income tax paid	(1,328,750)	(92,873)
Net cash used in operating activities	(3,894,551)	310,258
CASH FLOW FROM INVESTING ACTIVITIES		
Purchase of investment	(35,948,000)	-
Proceeds from sale of investment	37,797,408	-
Net cash flow from investing activities	1,849,408	
CASH FLOW FROM FINANCING ACTIVITIES		
Short term borrowing from associate	1,700,000	-
Net cash flow from financing activity	1,700,000	-
Net (decrease)/increase in cash and cash equivalents	(345,143)	310,258
Cash and cash equivalents at the beginning of the period	526,155	161,236
Cash and cash equivalents at the end of the period	181,012	471,494

The annexed notes from 01 to 17 form an integral part of these condensed interim financial statements.


CHIEF EXECUTIVE OFFICER


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**NOTES TO THE CONDENSED INTERIM FINANCIAL INFORMATION (UN-AUDITED)
FOR THE QUARTER ENDED 31st MARCH 2022**

1. THE COMPANY AND ITS BUSINESS

AKD Hospitality Limited (Formerly AKD Capital Limited) {"the Company"} was incorporated as a Public Limited Company in the year 1936 under Companies Act, 1913 (Now the Companies Act, 2017). Shares of the Company are quoted on the Pakistan Stock Exchange Limited. The Principal activity of the Company is tourism business including hospitality business, motel, destination management services, developing and building tourism attractions and to undertake all ancillary business activities to provide end to end service solutions.

The registered office of the company is situated at 511, Continental Trade Center, Block-08, Clifton, Karachi.

2. BASIS OF PREPARATION

These interim financial statements are un-audited and are being submitted to the shareholders in accordance with the requirements of Section Companies Ordinance, 1984. These interim financial statements are presented in condensed form in accordance with the requirements of International Accounting Standard 34 'Interim Financial Reporting'. They do not include all of the information required for full annual financial statements, and should be read in conjunction with the financial statements of the Company as at and for the year ended 30th June 2021. Comparative figures of the balance sheet are extracted from the annual financial statements for the year ended 30th June 2021 whereas comparative profit and loss account, statement of changes in equity and statement of cash flows are stated from un-audited condensed interim financial statements for the period ended 31st March 2021.

3. ACCOUNTING POLICIES

The accounting policies and method of computation followed for the preparation of this condensed interim financial information are the same as those applied in preparation of the financial statements for the year ended 30 June 2021.

- 3.1** IAS 1 (Amendment), 'Presentation of Financial Statements' The amendment clarifies that the potential settlement of a liability by the issue of equity is not relevant to its classification as current or non-current. By amending the definition of current liability, the amendment permits a liability to be classified as non-current(provided that the entity has an unconditional right to defer settlement by transfer of cash or other assets for at least 12 months after the accounting period) notwithstanding the fact that the entity could be required by the counter party to settle in shares at any time. The application of the amendment will not effect the results or net assets of the Company as it is only concerned with presentation and disclosures.

4. ESTIMATES

The Preparation of interim financial statements require management to make judgments, estimates and assumption that affect the application of accounting policies and reported amounts of assets and liabilities, income and expenses. Actual results may differ from these estimates. In preparing this condensed interim financial information, the significant judgments made by the management in applying the Company's accounting policies and the key resources of estimation uncertainty were the same as those that applied to the financial statements as at and for the year ended 30 June 2021.



	Unaudited 31 March 2022 Rupees	Audited 30 June 2021 Rupees
5. PROPERTY AND EQUIPMENT		
Written down value at the beginning of the period/ year	1,231,840	1,391,921
Depreciation charged for the period/ year	(104,763)	(160,081)
Written down value at the closing of the period/ year	<u>1,127,077</u>	<u>1,231,840</u>
5.1 Depreciation is charged to administrative and general expenses.		
6. LONG TERM INVESTMENTS (Equity Instruments)		
Investment in equity securities - at 'fair value through other comprehensive income'		
Creek Developers (Private) Limited - unquoted		
9,800 (30 June 2021: 9,800) fully paid ordinary shares of Rupees 10 each. Equity held 0.01% (30 June 2021: 0.01%) and Cost of Rupees 98,000 (30 June 2021: Rupees 98,000)	6.2 98,000	98,000
Cnergyico Pk Limited - quoted		
3,800,000 (30 June 2021: Nil) fully paid ordinary shares of Rupees 10 each. Equity held 0.06% (30 June 2021: Nil) and Cost of Rupees 35,948,000 (30 June 2021: Nil)	19,798,000	-
Javedan Corporation Limited - quoted		
Nil (30 June 2021: 921,888) fully paid ordinary shares of Rupees 10 each. Equity held Nil (30 June 2021: 0.3%) and Cost of Rupees 28,063,407 (30 June 2021: Rupees 28,063,407)	-	38,903,674
	<u>19,896,000</u>	<u>39,001,674</u>
7. Advance & Prepayments		
Prepayments	<u>211,541</u>	<u>48,557</u>
8. LEASE LIABILITY		
Balance as at 01 July	767,533	
Addition during the period/year under IFRS 16	-	712,915
Finance cost	26,943	54,618
Less: payment made during the period/year	-	-
	<u>794,476</u>	<u>767,533</u>
Overdue portion shown under current Liabilities	(472,500)	(270,000)
Current portion shown under current Liabilities	(254,476)	(236,920)
Non Current portion	<u>67,500</u>	<u>260,613</u>



9 CONTINGENCIES AND COMMITMENTS

CONTINGENCIES

There were no contingencies at reporting date.

COMMITMENTS

There have been no commitments as at the period.

10. LOSS PER SHARE - BASIC AND DILUTED

There is no dilutive effect on the basic loss per share of the Company which is based on:

	Unaudited		Unaudited	
	Nine-Months Period Ended		Three-Months Period Ended	
	31-Mar	31-Mar	31-Mar	31-Mar
	2022	2021	2022	2021
	Rupees	Rupees	Rupees	Rupees
Loss for the period - Rupees	(2,116,446)	(2,762,330)	(484,349)	(2,170,403)
Number of ordinary shares in issue - Number	2,507,471	2,507,471	2,507,471	2,507,471
Loss per share - Rupees	(0.84)	(1.10)	(0.19)	(0.87)

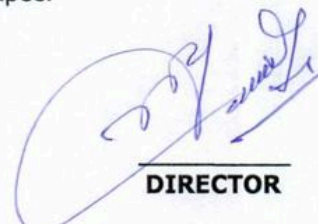
11 DATE OF AUTHORISATION

These condensed interim financial statements were approved and authorised for issue on 29th April 2022 by the Board of Directors of the Company.

12 GENERAL

Figures have been rounded off to the nearest Rupee.


CHIEF EXECUTIVE OFFICER


DIRECTOR


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